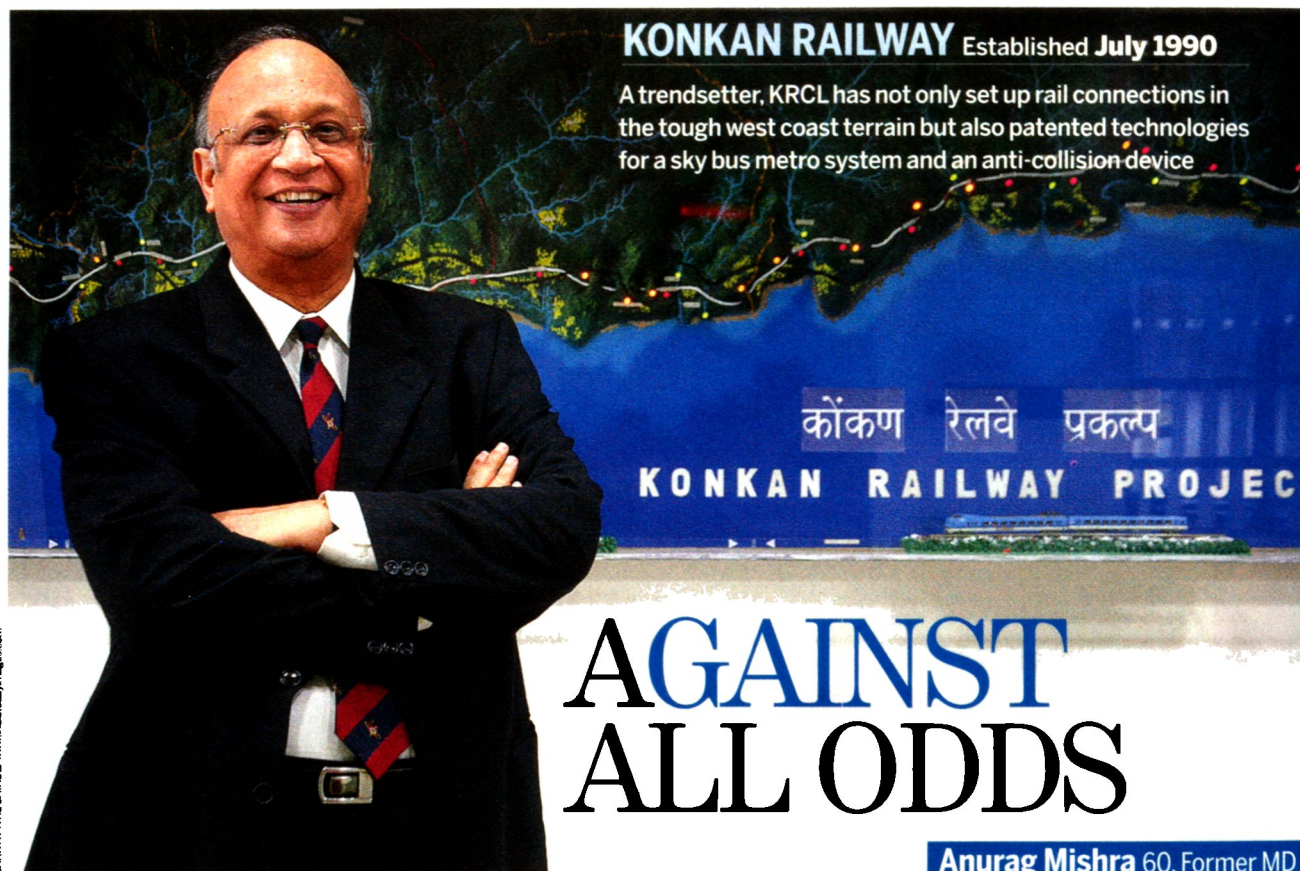


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## KONKAN RAILWAY Established July 1990

A trendsetter, KRCL has not only set up rail connections in the tough west coast terrain but also patented technologies for a sky bus metro system and an anti-collision device

कोंकण रेलवे प्रकल्प  
KONKAN RAILWAY PROJECT

# AGAINST ALL ODDS

Anurag Mishra 60, Former MD

Built to bridge a gap in the railway network on the western coast of India, the 760-km-long Konkan Railway had a rough start. From laying tracks on challenging terrain to dealing with a “flawed financial model”, the Konkan Railway Corporation Limited (KRCL) inherited a potential debt trap, because of the nature of financing of the project and also because freight traffic did not increase as envisaged. In the seven years of the construction phase, Rs 800 crore was raised as equity from the four participating states—Maharashtra, Goa, Karnataka, Kerala—and the Ministry of Railways. In addition, Rs 2,750 crore was raised in bonds, taking the total funding of the project to a whopping Rs 3,550 crore. However, unable to increase freight traffic, the model soon became economically unviable, resulting in a total debt liability of

Rs 6,000 crore in March 2008.

The only railway PSU in the country, KRCL had to be salvaged; a challenge former managing director Anurag Mishra, 60, took on. He proposed a financial restructuring in 2007 which brought down the debt-equity ratio of KRCL from 7:1 in 2007-08 to 0.55:1 in 2008-09, simultaneously shaving off the corporation’s name from the list of top ten loss-making PSUs in India. Says Mishra: “My first charge was to increase freight traffic, because that is where the profits come from.” From an

**1,24,931**  
passengers  
per day or 45.6  
million passen-  
gers annually  
were ferried by  
Konkan Railway  
in 2008-09.

average of four trains per day, traffic increased to nearly 20 trains daily. KRCL also developed loading and unloading terminals at important stations—Varna near Goa; Sawantwadi and Ankola in Maharashtra. In addition, expenditure was curtailed to 6 per cent in 2007-08, while earnings increased to 22 per

**“My first charge was to increase freight traffic, because that is where the profits come from.”**

cent during the same year. To bring down the debt liability, KRCL also increased traffic on their Roll On-Roll Off tracks, increasing revenue from Rs 8 crore to Rs 25 crore per year.

For the first time ever in 2008, it earned a record Rs 309 crore from freight traffic and registered earnings of Rs 744 crore in 2008-09, though this still has not pulled it out of the red. A lean organisation of 4,200 employees, it has set benchmarks in innovations, patenting new technologies like the anti-collision device and the sky bus metro system. In 2009, the Ministry of Tourism awarded Konkan Railway’s Karmali railway station in Goa for being the “Most Tourist Friendly Railway Station” in the country, reinforcing Konkan Railway as the preferred mode of transport in the region.

By Swati Mathur